

Accounts Payable & Procure-to-Pay Policy

Policy No.	FIN-AP-004	Version	4.1
Effective	January 1, 2026	Policy owner	Corporate Controller
Approved by	Chief Financial Officer	Applies to	All entities and cost centers

1. Purpose and Scope

This policy governs how Halvorsen Marine Systems, Inc. ("Halvorsen" or "the Company") receives, validates, approves and pays supplier invoices. It applies to all business units, all suppliers of goods and services, and all personnel who request, approve, receive or pay for goods and services.

Its objectives are to pay only for goods and services that were properly ordered, received and priced under contract; to prevent duplicate, erroneous and fraudulent payments; and to ensure invoices are approved within the Company's Delegation of Authority.

2. Definitions

- **Purchase Order (PO):** the Company's written authorization to purchase, stating vendor, items, quantities, unit prices and approved total. A **blanket PO** authorizes recurring deliveries or services over a period up to an amount.
- **Contract:** the governing agreement with a supplier (MSA, SOW, services or subscription agreement), including its rate card, payment terms and special clauses.
- **Receipt:** the goods receipt recorded by Receiving, or for services, the requester's confirmation of service (timesheet approval, service confirmation).
- **Three-way match:** agreement among the invoice, the PO and the receipt. **Two-way match** (invoice to PO) applies to subscriptions and fixed-fee services.
- **Vendor master:** the Company's controlled record of approved suppliers, including legal name, tax ID, address and remittance bank account.

3. Invoice Submission Requirements

A valid invoice must be addressed to Halvorsen Marine Systems, Inc. and must show all of the following. Invoices missing any required element are returned to the supplier and are not entered for payment:

- Supplier legal name and remit-to address exactly as recorded in the vendor master;
- Unique invoice number and invoice date (invoices may not be dated before the PO issue date or in the future);
- A valid Halvorsen PO number (one PO per invoice) and, for goods, the packing slip number and ship date;
- Line-item detail: SKU or service description, quantity, unit of measure, unit price and extended amount;
- Subtotal, separately stated freight and tax (if any), and total amount due in the PO currency;
- Payment terms consistent with the contract; for services, the service period covered.

Invoices must be submitted to the AP inbox. Invoices received more than 90 days after the ship date or service period are treated as exceptions and require Controller review.

4. No PO, No Pay

Every supplier invoice must reference a valid, open PO issued before the goods or services were ordered. Invoices without a PO, with an unknown PO, or against a PO that is Closed or Cancelled are **rejected** and returned to the supplier.

Verbal, email or "after-the-fact" authorizations are not purchase orders. The only exceptions to this section are utilities, taxes and governmental fees, payroll-related remittances, and legal settlements, which follow separate

procedures.

The vendor name on the invoice must match the vendor on the PO and in the vendor master. Invoices from suppliers not in the vendor master are rejected; suppliers must be onboarded through Procurement (W-9, insurance certificate, bank verification) before any payment.

5. Matching Rules and Tolerances

AP applies the following tolerances. Variances are measured against the PO; the contract rate card governs if the PO and contract disagree.

- **Unit price:** variance up to 1.0% is accepted as rounding. Above 1.0% the line is **flagged**; above 10.0% the invoice is **rejected**.
- **Quantity:** invoiced quantity may not exceed the PO quantity (or the received quantity, if lower). Any overage is **flagged**; overage above 10.0% is **rejected**. Partial shipments may be invoiced for quantities received.
- **Items not on the PO:** any line not on the PO (including substitutions and "added per phone request" items) is **flagged** and requires a PO change order before payment.
- **Arithmetic:** quantity x unit price must equal the line amount, lines must sum to the subtotal, and subtotal + freight + tax must equal the total, each within \$0.05. Any arithmetic error is **flagged**; AP pays the correct amount only after the supplier issues a corrected invoice or credit memo.
- **Invoice total:** may not exceed the PO approved total (including approved tax and freight allowance) by more than 2.0% (**flag**) or 10.0% (**reject**). Cumulative invoicing against a PO may never exceed the PO total.
- **Services (T&M):** hourly rates must match the contract rate card; hours must be supported by an approved timesheet; cumulative billing may not exceed the contract or PO not-to-exceed (NTE) amount.

6. Freight, Sales Tax and Other Charges

- Freight is payable only if the contract or PO allows it. Where the contract includes freight in unit prices (e.g., above an order threshold), separately billed freight is not payable. Where freight is allowed, it must be prepaid-and-added at actual cost and within any contractual cap.
- California sales and use tax is payable on taxable tangible goods at the ship-to rate (Irvine, CA: 7.75%). Sales tax must not be paid on non-taxable services (e.g., janitorial, consulting, professional services) or on hosted software subscriptions. Separately stated freight by common carrier is not taxable.
- Fuel surcharges, administrative, handling, restocking, rush, credit-card or late fees are not payable unless expressly provided in the contract.
- Price increases are payable only when supported by a signed contract amendment. References to "market conditions", "new rate schedules" or "annual adjustments" not stated in the contract are not a basis for payment.

7. Contract Compliance

- The contract must be in force on the invoice date and on the date the goods or services were provided. Invoices for goods or services provided after contract expiry are **flagged**; if the PO is also closed, the invoice is **rejected**.
- Escalators, milestone billing schedules, NTE caps and prohibited charges stated in the contract are enforced as written. A milestone invoice for the contractually scheduled portion of a fixed fee is not a price variance.
- Out-of-scope or additional work is payable only if authorized in advance by a written work order and a PO line.
- Payment terms on the invoice must match the contract. If they differ, AP pays on the contract terms and flags the invoice.

8. Duplicate Invoice Prevention

Before entry, AP checks each invoice against invoices already received and paid for the same supplier. An invoice is treated as a suspected duplicate if any of the following match a prior invoice: (a) same invoice number; (b) same PO and same amount; (c) same amount and date within 30 days; or (d) same line items and quantities already billed

against the PO.

Invoices marked "reprint", "copy", "duplicate", "second notice" or "statement" are not payable documents; they are researched against the original and **rejected** if the original has been recorded. A supplier claim that an invoice is past due is verified against the actual due date before any action is taken.

9. Vendor Master and Bank Change Controls (Fraud Prevention)

Payments are made only to the remittance account recorded in the vendor master. Remittance instructions printed on an invoice are never used to make or change a payment.

A request to change bank details, whether on an invoice, by email, or by letter, must be verified by AP through a call-back to the supplier contact of record using the phone number already in the vendor master (not a number supplied in the request). Changes require dual approval by the AP Manager and Controller and take effect only after verification.

The following are red flags. Any invoice showing one or more of them is placed on **hold and rejected for payment** pending investigation, and is reported to the Controller the same day:

- Supplier name, address, email domain or phone that differs, even slightly, from the vendor master;
- New or changed bank details, wire-only instructions, or a request to confirm "by email only";
- Unusual urgency ("pay within 5 days", threats of late fees or credit holds) or terms shorter than contract terms;
- Invoices for amounts or items already billed, or referencing a PO the supplier would not normally know about.

10. Travel and Expense Reimbursement for Contractors

Where a contract permits reimbursement of contractor expenses, the contract governs. If the contract is silent, the following limits apply: economy airfare only; lodging not to exceed \$275 per night; meals per diem not to exceed \$75 per day; ground transportation at actual cost; itemized receipts for any item of \$25 or more; no markup, administrative or handling fees; and total expenses per invoice not to exceed 10% of fees billed on that invoice without prior Controller approval.

Non-compliant expenses are short-paid; the remainder of the invoice may be paid once the supplier issues a credit memo or corrected invoice.

11. Approval Authority (Delegation of Authority)

An invoice that passes matching still requires approval within the following limits. Approval limits apply to the invoice total, and invoices may not be split to stay under a limit.

- Under \$10,000: AP Manager (on a clean three-way or two-way match).
- \$10,000 to \$49,999.99: Department Director of the requesting cost center.
- \$50,000 to \$249,999.99: Corporate Controller - **manual approval required even if all checks pass.**
- \$250,000 and above: Chief Financial Officer.

12. Payment Terms and Discounts

Invoices are paid on the contract's terms, measured from the later of the invoice date or receipt of goods/services. Early-payment discounts (e.g., 2% 10, Net 45) are taken whenever the invoice is clean and approved within the discount period. Halvorsen does not pay late fees or interest not provided for in the contract.

13. Exception Outcomes

Each invoice review results in one of three outcomes:

- **Approved:** all checks pass within tolerance; the invoice is scheduled for payment on contract terms (subject to Section 11 approvals).
- **Flagged:** one or more exceptions that may be resolvable (price or quantity variance within reject limits, arithmetic errors, non-compliant charges, term mismatches, approval-limit review). The invoice is held until the exception is

cleared, short-paid, or corrected by credit memo.

- **Rejected:** the invoice cannot be paid as submitted (no valid/open PO, unknown vendor, duplicate, suspected fraud, variances above reject limits, expired contract with closed PO). It is returned to the supplier, and fraud indicators are escalated under Section 9.

14. Records and Review

Invoices, match results and approvals are retained for seven years. This policy is reviewed annually by the Corporate Controller. Exceptions to this policy require written CFO approval.

Revision history: v4.0 (2025-01-01) added bank-change call-back control; v4.1 (2026-01-01) added contractor T&E limits and milestone-billing guidance.